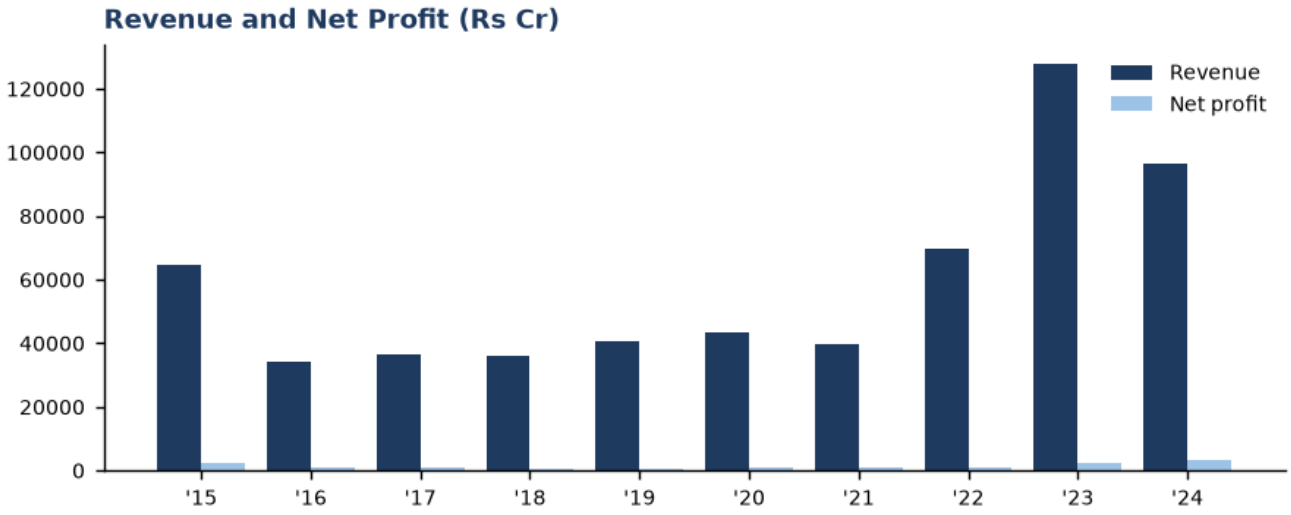
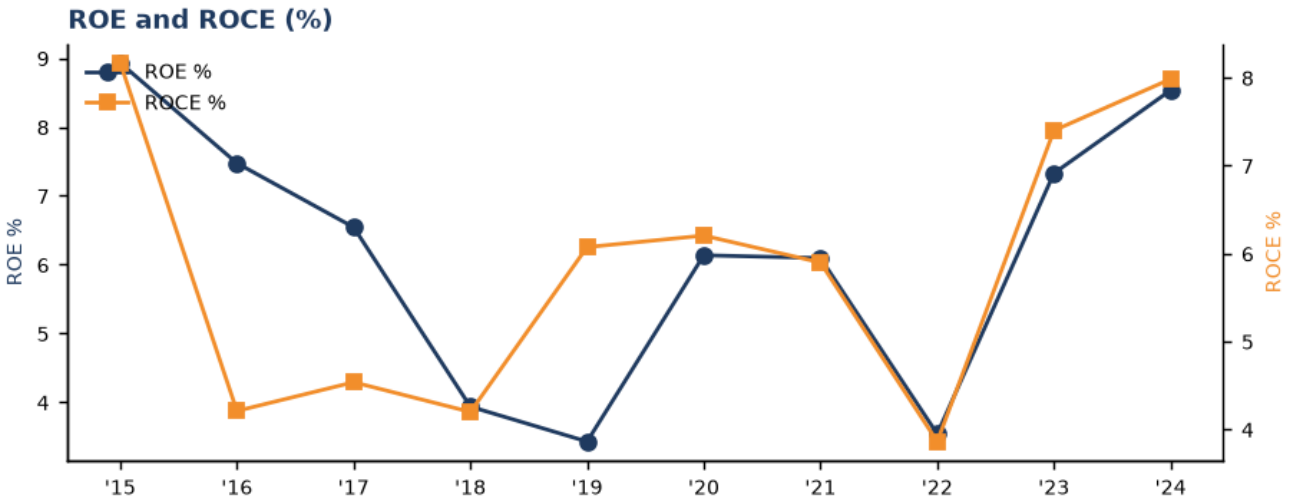
Adani Enterprises Ltd

ADANIENT | Industrials | Conglomerates | Latest financial year: 2024-03

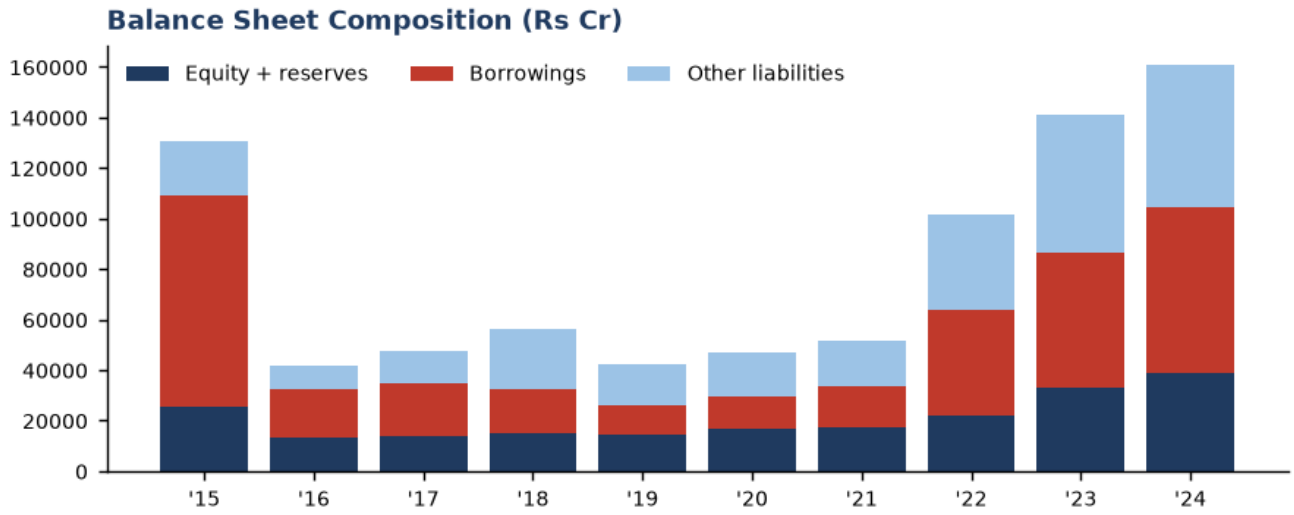
ROE **8.5%**	ROCE **8.0%**	Net profit margin **3.5%**
Debt / equity **1.67**	Revenue CAGR 5yr **19.0%**	Free cash flow (Rs Cr) **-8,455**

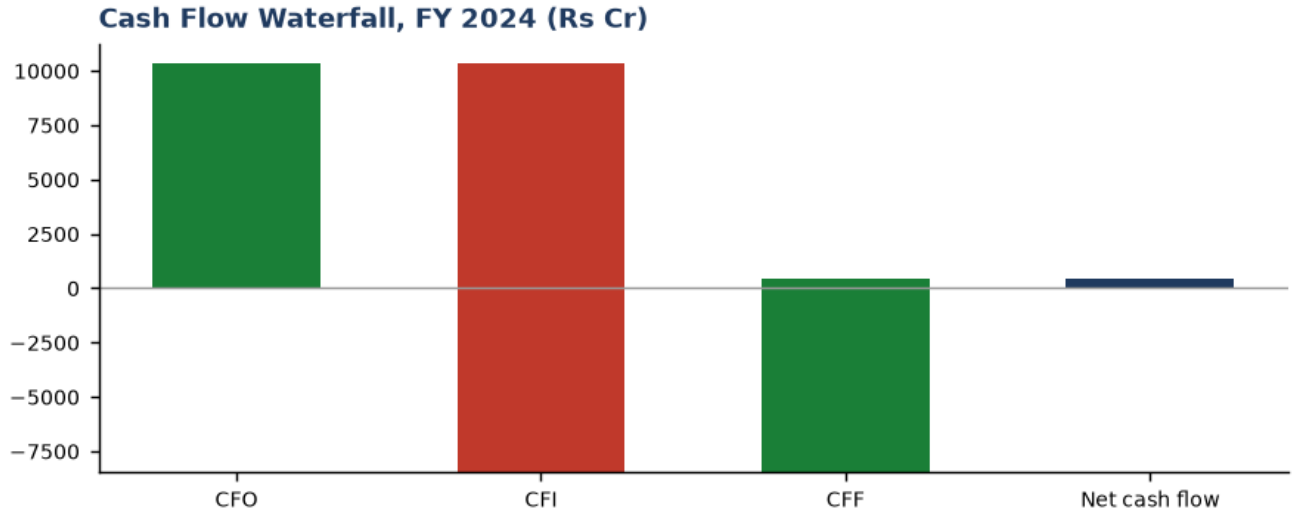




Adani Enterprises Ltd

ADANIENT | Balance sheet, cash flow and qualitative view





Key strengths and concerns (auto-generated, with confidence)

Pros

- Net profit compounding at above 20% over 5 years creates significant shareholder value (100%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (100%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (100%)
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (71%)

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (86%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (68%)

Capital allocation: Growth Funded by Debt

Pros and cons are generated from KPI threshold rules and are not investment advice. Ratios use annual filings; market data is SIMULATED.